SCHEDULE III

(*See* section 129)

[1][**Division I**

FINANCIAL STATEMENTS FOR A COMPANY WHOSE FINANCIAL STATEMENTS ARE REQUIRED TO COMPLY WITH THE COMPANIES (ACCOUNTING STANDARDS) RULES, 2006

General Instructions for Preparation of Balance Sheet and Statement of Profit and Loss of a Company.]

GENERAL INSTRUCTIONS

1. Where compliance with the requirements of the Act including Accounting Standards as applicable to the companies require any change in treatment or disclosure including addition, amendment, substitution or deletion in the head or sub-head or any changes, *inter se*, in the financial statements or statements forming part thereof, the same shall be made and the requirements of this Schedule shall stand modified accordingly.

2. The disclosure requirements specified in this Schedule are in addition to and not in substitution of the disclosure requirements specified in the Accounting Standards prescribed under the Companies Act, 2013. Additional disclosures specified in the Accounting Standards shall be made in the notes to accounts or by way of additional statement unless required to be disclosed on the face of the Financial Statements. Similarly, all other disclosures as required by the Companies Act shall be made in the notes to accounts in addition to the requirements set out in this Schedule.

3. (*i*) Notes to accounts shall contain information in addition to that presented in the Financial Statements and shall provide where required (*a*) narrative descriptions or disaggregations of items recognised in those statements; and (*b*) information about items that do not qualify for recognition in those statements.

(*ii*) Each item on the face of the Balance Sheet and Statement of Profit and Loss shall be cross-referenced to any related information in the notes to accounts. In preparing the Financial Statements including the notes to accounts, a balance shall be maintained between providing excessive detail that may not assist users of financial statements and not providing important information as a result of too much aggregation.

4. (*i*) Depending upon the turnover of the company, the figures appearing in the Financial Statements may be rounded off as given below:—

Turnover	**Rounding off**
(a) less than one hundred crore rupees	To the nearest hundreds, thousands, lakhs or millions, or decimals thereof.
(b) one hundred crore rupees or more	To the nearest lakhs, millions or crores, or decimals thereof.

(*ii*) Once a unit of measurement is used, it [2][should] be used uniformly in the Financial Statements.

5. Except in the case of the first Financial Statements laid before the Company (after its incorporation) the corresponding amounts (comparatives) for the immediately preceding reporting period for all items shown in the Financial Statements including notes shall also be given.

6. For the purpose of this Schedule, the terms used herein shall be as per the applicable Accounting Standards.

Note:— This part of Schedule sets out the minimum requirements for disclosure on the face of the Balance Sheet, and the Statement of Profit and Loss (hereinafter referred to as "Financial Statements" for the purpose of

1. Subs. by G.S.R. 404(E), dated 6th April, 2016, for "GENERAL INSTURCTIONS FOR PREPARATION OF BALANCE SHEET AND STATEMENT OF PROFIT AND LOSS OF A COMPANY".

2. Subs. by Notification No. G.S.R. 1022(E), dated 11th October, 2018, for "shall" (w.e.f. 11-10-218).

this Schedule) and Notes. Line items, sub-line items and sub-totals shall be presented as an addition or substitution on the face of the Financial Statements when such presentation is relevant to an understanding of the company's financial position or performance or to cater to industry/sector-specific disclosure requirements or when required for compliance with the amendments to the Companies Act or under the Accounting Standards.

PART I — BALANCE SHEET

Name of the Company…….

Balance Sheet as at ……

(Rupees in……)

Particulars	Note No.	Figures as at the end of current reporting period	Figures as at the end of the previous reporting period
1	2	3	4
I. EQUITY AND LIABILITIES			
(1) **Shareholders' funds**			
(a) Share capital			
(b) Reserves and surplus			
(c) Money received against share warrants			
(2) **Share application money pending allotment**			
(3) **Non-current liabilities**			
(a) Long-term borrowings			
(b) Deferred tax liabilities (Net)			
(c) Other Long-term liabilities			
(d) Long-term provisions			
(4) **Current liabilities**			
(a) Short-term borrowings			
[1][(*b*) Trade payables (A) total outstanding dues of micro enterprises and small enterprises; and (B) total outstanding dues of creditors other than micro enterprises and small enterprises.]			
(*c*) Other current liabilities			
(*d*) Short-term provisions			
TOTAL			

1. Subs. by Notification No. G.S.R. 679(E), dated 4th September 2015, for "(b) Trade payables" (w.e.f. 4-9-2015).

1	2	3	4
II. ASSETS			
Non-current assets			
(1) (*a*) [1][Property, Plant and Equipment]			
(i) Tangible assets			
(ii) Intangible assets			
(iii) Capital work-in-progress			
(iv) Intangible assets under development			
(b) Non-current investments			
(c) Deferred tax assets (net)			
(d) Long-term loans and advances			
(e) Other non-current assets			
(2) **Current assets**			
(a) Current investments			
(b) Inventories			
(c) Trade receivables			
(d) Cash and cash equivalents			
(e) Short-term loans and advances			
(f) Other current assets			
TOTAL			

***See* accompanying notes to the Financial Statements.**

Notes

GENERAL INSTRUCTIONS FOR PREPARATION OF BALANCE SHEET

1. An asset shall be classified as current when it satisfies any of the following criteria:—

(*a*) it is expected to be realised in, or is intended for sale or consumption in, the company's normal operating cycle;

(*b*) it is held primarily for the purpose of being traded;

(*c*) it is expected to be realised within twelve months after the reporting date; or

(*d*) it is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date.

All other assets shall be classified as non-current.

2. An operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. Where the normal operating cycle cannot be identified, it is assumed to have a duration of twelve months.

3. A liability shall be classified as current when it satisfies any of the following criteria:—

(*a*) it is expected to be settled in the company's normal operating cycle;

1. Subs. by Notification No. G.S.R. 1022(E), dated 11th October, 2018, for "Fixed assets" (w.e.f. 11-10-2018).

(*b*) it is held primarily for the purpose of being traded;

(*c*) it is due to be settled within twelve months after the reporting date; or

(*d*) the company does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

All other liabilities shall be classified as non-current.

4. A receivable shall be classified as a "trade receivable" if it is in respect of the amount due on account of goods sold or services rendered in the normal course of business.

5. A payable shall be classified as a "trade payable" if it is in respect of the amount due on account of goods purchased or services received in the normal course of business.

6. A company shall disclose the following in the notes to accounts.

A. Share Capital

For each class of share capital (different classes of preference shares to be treated separately):

(*a*) the number and amount of shares authorised;

(*b*) the number of shares issued, subscribed and fully paid, and subscribed but not fully paid;

(*c*) par value per share;

(*d*) a reconciliation of the number of shares outstanding at the beginning and at the end of the reporting period;

(*e*) the rights, preferences and restrictions attaching to each class of shares including restrictions on the distribution of dividends and the repayment of capital;

(*f*) shares in respect of each class in the company held by its holding company or its ultimate holding company including shares held by or by subsidiaries or associates of the holding company or the ultimate holding company in aggregate;

(*g*) shares in the company held by each shareholder holding more than 5 per cent. shares specifying the number of shares held;

(*h*) shares reserved for issue under options and contracts/commitments for the sale of shares/disinvestment, including the terms and amounts;

(*i*) for the period of five years immediately preceding the date as at which the Balance Sheet is prepared:

(A) Aggregate number and class of shares allotted as fully paid-up pursuant to contract (s) without payment being received in cash.

(B) Aggregate number and class of shares allotted as fully paid-up by way of bonus shares.

(C) Aggregate number and class of shares bought back.

(*j*) terms of any securities convertible into equity/preference shares issued along with the earliest date of conversion in descending order starting from the farthest such date;

(*k*) calls unpaid (showing aggregate value of calls unpaid by directors and officers);

(*l*) forfeited shares (amount originally paid-up).

B. Reserves and Surplus

(*i*) Reserves and Surplus shall be classified as:

(*a*) Capital Reserves;

(*b*) Capital Redemption Reserve;

(*c*) Securities Premium [1]***;

1. The word "Reserve" omitted by Notification No. G.S.R.1022(E), dated 11th October, 2018 (w.e.f. 11-10-2018).

(*d*) Debenture Redemption Reserve;

(*e*) Revaluation Reserve;

(*f*) Share Options Outstanding Account;

(*g*) Other Reserves–(specify the nature and purpose of each reserve and the amount in respect thereof);

(*h*) Surplus *i.e*., balance in Statement of Profit and Loss disclosing allocations and appropriations such as dividend, bonus shares and transfer to/ from reserves, etc.;

(Additions and deductions since last balance sheet to be shown under each of the specified heads);

(*ii*) A reserve specifically represented by earmarked investments shall be termed as a "fund".

(*iii*) Debit balance of statement of profit and loss shall be shown as a negative figure under the head "Surplus". Similarly, the balance of "Reserves and Surplus", after adjusting negative balance of surplus, if any, shall be shown under the head "Reserves and Surplus" even if the resulting figure is in the negative.

C. Long-Term Borrowings

(*i*) Long-term borrowings shall be classified as:

(*a*) Bonds/debentures;

(*b*) Term loans:

(A) from banks.

(B) from other parties.

(*c*) Deferred payment liabilities;

(*d*) Deposits;

(*e*) Loans and advances from related parties;

(*f*) Long term maturities of finance lease obligations;

(*g*) Other loans and advances (specify nature).

(*ii*) Borrowings shall further be sub-classified as secured and unsecured. Nature of security shall be specified separately in each case.

(*iii*) Where loans have been guaranteed by directors or others, the aggregate amount of such loans under each head shall be disclosed.

(*iv*) Bonds/debentures (along with the rate of interest and particulars of redemption or conversion, as the case may be) shall be stated in descending order of maturity or conversion, starting from farthest redemption or conversion date, as the case may be. Where bonds/debentures are redeemable by instalments, the date of maturity for this purpose must be reckoned as the date on which the first instalment becomes due.

(*v*) Particulars of any redeemed bonds/debentures which the company has power to reissue shall be disclosed.

(*vi*) Terms of repayment of term loans and other loans shall be stated.

(*vii*) Period and amount of continuing default as on the balance sheet date in repayment of loans and interest, shall be specified separately in each case.

D. Other Long-term Liabilities

Other Long-term Liabilities shall be classified as:

(*a*) Trade payables;

(*b*) Others.

E. Long-term provisions

The amounts shall be classified as:

(*a*) Provision for employee benefits;

(*b*) Others (specify nature).

F. Short-term borrowings

(*i*) Short-term borrowings shall be classified as:

(*a*) Loans repayable on demand;

(A) from banks.

(B) from other parties.

(*b*) Loans and advances from related parties;

(*c*) Deposits;

(*d*) Other loans and advances (specify nature).

(*ii*) Borrowings shall further be sub-classified as secured and unsecured. Nature of security shall be specified separately in each case.

(*iii*) Where loans have been guaranteed by directors or others, the aggregate amount of such loans under each head shall be disclosed.

(*iv*) Period and amount of default as on the balance sheet date in repayment of loans and interest, shall be specified separately in each case.

[1][**FA. Trade Payable**:—

The following details relating to Micro, Small and Medium Enterprises shall be disclosed in the notes:

(*a*) the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier at the end of each accounting year;

(*b*) the amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Enterprises Development Act, 2006 (7 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounding year;

(*c*) the amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006;

(*d*) the amount of interest accrued and remaining unpaid at the end of each accounting year; and

(*e*) the amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006;

Explanation.-The terms 'appointed day', 'buyer', 'enterprise', 'micro enterprise', 'small enterprise' and 'supplier', shall have the same meaning assigned to those under clauses (b), (d), (e), (h), (m) and (n) respectively of section 2 of the Micro, Small and Medium Enterprises Development Act, 2006.]

G. Other current liabilities

The amounts shall be classified as:

(*a*) Current maturities of long-term debt;

(*b*) Current maturities of finance lease obligations;

(*c*) Interest accrued but not due on borrowings;

1. Ins. by Notification No. G.S.R. 679(E), dated 4th September, 2015 (w.e.f. 4-9-2015).

(*d*) Interest accrued and due on borrowings;

(*e*) Income received in advance;

(*f*) Unpaid dividends;

(*g*) Application money received for allotment of securities and due for refund and interest accrued thereon. Share application money includes advances towards allotment of share capital. The terms and conditions including the number of shares proposed to be issued, the amount of premium, if any, and the period before which shares shall be allotted shall be disclosed. It shall also be disclosed whether the company has sufficient authorised capital to cover the share capital amount resulting from allotment of shares out of such share application money. Further, the period for which the share application money has been pending beyond the period for allotment as mentioned in the document inviting application for shares along with the reason for such share application money being pending shall be disclosed. Share application money not exceeding the issued capital and to the extent not refundable shall be shown under the head Equity and share application money to the extent refundable, *i.e.*, the amount in excess of subscription or in case the requirements of minimum subscription are not met, shall be separately shown under "Óther current liabilities";

(*h*) Unpaid matured deposits and interest accrued thereon;

(*i*) Unpaid matured debentures and interest accrued thereon;

(*j*) Other payables (specify nature).

H. Short-term provisions

The amounts shall be classified as:

(*a*) Provision for employee benefits.

(*b*) Others (specify nature).

I. Tangible assets

(*i*) Classification shall be given as:

(*a*) Land;

(*b*) Buildings;

(*c*) Plant and Equipment;

(*d*) Furniture and Fixtures;

(*e*) Vehicles;

(*f*) Office equipment;

(*g*) Others (specify nature).

(*ii*) Assets under lease shall be separately specified under each class of asset.

(*iii*) A reconciliation of the gross and net carrying amounts of each class of assets at the beginning and end of the reporting period showing additions, disposals, acquisitions through business combinations and other adjustments and the related depreciation and impairment losses/reversals shall be disclosed separately.

(*iv*) Where sums have been written-off on a reduction of capital or revaluation of assets or where sums have been added on revaluation of assets, every balance sheet subsequent to date of such write-off, or addition shall show the reduced or increased figures as applicable and shall by way of a note also show the amount of the reduction or increase as applicable together with the date thereof for the first five years subsequent to the date of such reduction or increase.

J. Intangible assets

(*i*) Classification shall be given as:

(*a*) Goodwill;

(*b*) Brands /trademarks;

(*c*) Computer software;

(*d*) Mastheads and publishing titles;

(*e*) Mining rights;

(*f*) Copyrights, and patents and other intellectual property rights, services and operating rights;

(*g*) Recipes, formulae, models, designs and prototypes;

(*h*) Licences and franchise;

(*i*) Others (specify nature).

(*ii*) A reconciliation of the gross and net carrying amounts of each class of assets at the beginning and end of the reporting period showing additions, disposals, acquisitions through business combinations and other adjustments and the related amortization and impairment losses/reversals shall be disclosed separately.

(*iii*) Where sums have been written-off on a reduction of capital or revaluation of assets or where sums have been added on revaluation of assets, every balance sheet subsequent to date of such write-off, or addition shall show the reduced or increased figures as applicable and shall by way of a note also show the amount of the reduction or increase as applicable together with the date thereof for the first five years subsequent to the date of such reduction or increase.

K. Non-current investments

(*i*) Non-current investments shall be classified as trade investments and other investments and further classified as:

(*a*) Investment property;

(*b*) Investments in Equity Instruments;

(*c*) Investments in preference shares;

(*d*) Investments in Government or trust securities;

(*e*) Investments in debentures or bonds;

(*f*) Investments in Mutual Funds;

(*g*) Investments in partnership firms;

(*h*) Other non-current investments (specify nature).

Under each classification, details shall be given of names of the bodies corporate indicating separately whether such bodies are (*i*) subsidiaries, (*ii*) associates,(*iii*) joint ventures, or (*iv*) controlled special purpose entities in whom investments have been made and the nature and extent of the investment so made in each such body corporate (showing separately investments which are partly-paid). In regard to investments in the capital of partnership firms, the names of the firms (with the names of all their partners, total capital and the shares of each partner) shall be given.

(*ii*) Investments carried at other than at cost should be separately stated specifying the basis for valuation thereof;

(*iii*) The following shall also be disclosed:

(*a*) Aggregate amount of quoted investments and market value thereof;

(*b*) Aggregate amount of unquoted investments;

(*c*) Aggregate provision for diminution in value of investments.

L. Long-term loans and advances

(*i*) Long-term loans and advances shall be classified as:

(*a*) Capital Advances;

(*b*) Security Deposits;

(*c*) Loans and advances to related parties (giving details thereof);

(*d*) Other loans and advances (specify nature).

(*ii*) The above shall also be separately sub-classified as:

(*a*) Secured, considered good;

(*b*) Unsecured, considered good;

(*c*) Doubtful.

(*iii*) Allowance for bad and doubtful loans and advances shall be disclosed under the relevant heads separately.

(*iv*) Loans and advances due by directors or other officers of the company or any of them either severally or jointly with any other persons or amounts due by firms or private companies respectively in which any director is a partner or a director or a member should be separately stated.

M. Other non-current assets

Other non-current assets shall be classified as:

(*i*) Long-term Trade Receivables (including trade receivables on deferred credit terms);

(*ii*) Others (specify nature);

(*iii*) Long term Trade Receivables, shall be sub-classified as:

(*A*) (a) Secured, considered good;

(*B*) Unsecured, considered good;

(*C*) Doubtful.

(*b*) Allowance for bad and doubtful debts shall be disclosed under the relevant heads separately.

(*c*) Debts due by directors or other officers of the company or any of them either severally or jointly with any other person or debts due by firms or private companies respectively in which any director is a partner or a director or a member should be separately stated.

N. Current Investments

(*i*) Current investments shall be classified as:

(*a*) Investments in Equity Instruments;

(*b*) Investments in Preference Shares;

(*c*) Investments in Government or trust securities;

(*d*) Investments in debentures or bonds;

(*e*) Investments in Mutual Funds;

(*f*) Investments in partnership firms;

(*g*) Other investments (specify nature).

Under each classification, details shall be given of names of the bodies corporate [indicating separately whether such bodies are: (*i*) subsidiaries, (*ii*) associates, (*iii*) joint ventures, or (*iv*) controlled special purpose entities] in whom investments have been made and the nature and extent of the investment so made in each such body corporate (showing separately investments which are partly paid). In regard to investments in the capital of partnership firms, the names of the firms (with the names of all their partners, total capital and the shares of each partner) shall be given.

(*ii*) The following shall also be disclosed:

(*a*) The basis of valuation of individual investments;

(*b*) Aggregate amount of quoted investments and market value thereof;

(*c*) Aggregate amount of unquoted investments;

(*d*) Aggregate provision made for diminution in value of investments.

O. Inventories

(*i*) Inventories shall be classified as:

(*a*) Raw materials;

(*b*) Work-in-progress;

(*c*) Finished goods;

(*d*) Stock-in-trade (in respect of goods acquired for trading);

(*e*) Stores and spares;

(*f*) Loose tools;

(*g*) Others (specify nature).

(*ii*) Goods-in-transit shall be disclosed under the relevant sub-head of inventories.

(*iii*) Mode of valuation shall be stated.

P. Trade Receivables

(*i*) Aggregate amount of Trade Receivables outstanding for a period exceeding six months from the date they are due for payment should be separately stated.

(*ii*) Trade receivables shall be sub-classified as:

(*a*) Secured, considered good;

(*b*) Unsecured, considered good;

(*c*) Doubtful.

(*iii*) Allowance for bad and doubtful debts shall be disclosed under the relevant heads separately.

(*iv*) Debts due by directors or other officers of the company or any of them either severally or jointly with any other person or debts due by firms or private companies respectively in which any director is a partner or a director or a member should be separately stated.

Q. Cash and cash equivalents

(*i*) Cash and cash equivalents shall be classified as:

(*a*) Balances with banks;

(*b*) Cheques, drafts on hand;

(*c*) Cash on hand;

(*d*) Others (specify nature).

(*ii*) Earmarked balances with banks (for example, for unpaid dividend) shall be separately stated.

(*iii*) Balances with banks to the extent held as margin money or security against the borrowings, guarantees, other commitments shall be disclosed separately.

(*iv*) Repatriation restrictions, if any, in respect of cash and bank balances shall be separately stated.

(*v*) Bank deposits with more than twelve months maturity shall be disclosed separately.

R. Short-term loans and advances

(*i*) Short-term loans and advances shall be classified as:

(*a*) Loans and advances to related parties (giving details thereof);

(*b*) Others (specify nature).

(*ii*) The above shall also be sub-classified as:

(*a*) Secured, considered good;

(*b*) Unsecured, considered good;

(*c*) Doubtful.

(*iii*) Allowance for bad and doubtful loans and advances shall be disclosed under the relevant heads separately.

(*iv*) Loans and advances due by directors or other officers of the company or any of them either severally or jointly with any other person or amounts due by firms or private companies respectively in which any director is a partner or a director or a member shall be separately stated.

S. Other current assets (specify nature)

This is an all-inclusive heading, which incorporates current assets that do not fit into any other asset categories.

T. Contingent liabilities and commitments (to the extent not provided for)

(*i*) Contingent liabilities shall be classified as:

(*a*) Claims against the company not acknowledged as debt;

(*b*) Guarantees;

(*c*) Other money for which the company is contingently liable.

(*ii*) Commitments shall be classified as:

(*a*) Estimated amount of contracts remaining to be executed on capital account and not provided for;

(*b*) Uncalled liability on shares and other investments partly paid;

(*c*) Other commitments (specify nature).

U. The amount of dividends proposed to be distributed to equity and preference shareholders for the period and the related amount per share shall be disclosed separately. Arrears of fixed cumulative dividends on preference shares shall also be disclosed separately.

V. Where in respect of an issue of securities made for a specific purpose, the whole or part of the amount has not been used for the specific purpose at the balance sheet date, there shall be indicated by way of note how such unutilised amounts have been used or invested.

W. If, in the opinion of the Board, any of the assets other than [1][Property, Plant and Equipment] and non-current investments do not have a value on realisation in the ordinary course of business at least equal to the amount at which they are stated, the fact that the Board is of that opinion, shall be stated.

1. Subs. by Notification No. G.S.R. (E), dated 11th October, 2018, for "fixed assets" (w.e.f. 11-10-2018).

[1][**X.** Every company shall disclose the details of Specified Bank Notes (SBN) held and transacted during the period from 8th November, 2016 to 30th December, 2016 as provided in the Table below:-

	SBNs	Other denomination notes	Total
Closing cash in hand as on 08.11.2016			
(+) Permitted receipts			
(-) Permitted payments			
(-) Amount deposited in Banks			
Closing cash in hand as on 30.12. 2016			

Explanation : For the purposes of this clause, the term 'Specified Bank Notes' shall have the same meaning provided in the notification of the Government of India, in the Ministry of Finance, Department of Economic Affairs number S.O. 3407(E), dated the 8th November, 2016.]

PART II – STATEMENT OF PROFIT AND LOSS

Name of the Company……..

Profit and loss statement for the year ended ……

(Rupees in……)

	Particulars	Note No.	Figures as at the end of current reporting period	Figures as at the end of the previous reporting period
	1	2	3	4
I.	Revenue from operations		xxx	xxx
II.	Other income		xxx	xxx
III.	Total Revenue (I + II)		xxx	xxx
IV.	Expenses:			
	Cost of materials consumed			
	Purchases of Stock-in-Trade			
	Changes in inventories of		xxx	xxx
	finished goods			
	work-in-progress and		xxx	xxx
	Stock-in-Trade		xxx	xxx
	Employee benefits expense		xxx	xxx
	Finance costs			
	Depreciation and amortisation expense			
	Other expenses			

1. Ins. by Notification No. G.S.R. 308(E), dated 30th March, 2017 (w.e.f. 30-3-2017).

1	2	3	4
	Total expenses	xxx	xxx
V.	Profit before exceptional and extraordinary items and tax (III - IV)	xxx	xxx
VI.	Exceptional items	xxx	xxx
VII.	Profit before extraordinary items and tax (V - VI)	xxx	xxx
VIII.	Extraordinary items	xxx	xxx
IX.	Profit before tax (VII- VIII)	xxx	xxx
X.	Tax expense:		
	(1) Current tax	xxx	xxx
	(2) Deferred tax	xxx	xxx
XI.	Profit (Loss) for the period from continuing operations (VII-VIII)	xxx	xxx
XII.	Profit/(loss) from discontinuing operations	xxx	xxx
XIII.	Tax expense of discontinuing operations	xxx	xxx
XIV.	Profit/(loss) from Discontinuing operations (after tax) (XII-XIII)	xxx	xxx
XV.	Profit (Loss) for the period (XI + XIV)	xxx	xxx
XVI.	Earnings per equity share:		
	(1) Basic	xxx	xxx
	(2) Diluted	xxx	xxx

***See* accompanying notes to the financial statements.**

GENERAL INSTRUCTIONS FOR PREPARATION OF STATEMENT OF PROFIT AND LOSS

1. The provisions of this Part shall apply to the income and expenditure account referred to in sub-clause (*ii*) of clause (*40*) of section 2 in like manner as they apply to a statement of profit and loss.

2. (*A*) In respect of a company other than a finance company revenue from operations shall disclose separately in the notes revenue from—

(*a*) Sale of products;

(*b*) Sale of services;

(*c*) Other operating revenues;

Less:

(*d*) Excise duty.

(*B*) In respect of a finance company, revenue from operations shall include revenue from—

(*a*) Interest; and

(*b*) Other financial services.

Revenue under each of the above heads shall be disclosed separately by way of notes to accounts to the extent applicable.

3. Finance Costs

Finance costs shall be classified as:

(*a*) Interest expense;

(*b*) Other borrowing costs;

(*c*) Applicable net gain/loss on foreign currency transactions and translation.

4. Other income

Other income shall be classified as:

(*a*) Interest Income (in case of a company other than a finance company);

(*b*) Dividend Income;

(*c*) Net gain/loss on sale of investments;

(*d*) Other non-operating income (net of expenses directly attributable to such income).

5. Additional Information

A Company shall disclose by way of notes additional information regarding aggregate expenditure and income on the following items:—

(*i*) (*a*) Employee Benefits Expense [showing separately (*i*) salaries and wages,

(*ii*) contribution to provident and other funds, (*iii*) expense on Employee Stock Option Scheme (ESOP) and Employee Stock Purchase Plan (ESPP), (*iv*) staff welfare expenses].

(*b*) Depreciation and amortisation expense;

(*c*) Any item of income or expenditure which exceeds one per cent. of the revenue from operations or Rs.1,00,000, whichever is higher;

(*d*) Interest Income;

(*e*) Interest expense;

(*f*) Dividend income;

(*g*) Net gain/loss on sale of investments;

(*h*) Adjustments to the carrying amount of investments;

(*i*) Net gain or loss on foreign currency transaction and translation (other than considered as finance cost);

(*j*) Payments to the auditor as (*a*) auditor; (*b*) for taxation matters; (*c*) for company law matters; (*d*) for management services; (*e*) for other services; and (*f*) for reimbursement of expenses;

(*k*) In case of Companies covered under section 135, amount of expenditure incurred on corporate social responsibility activities;

(*l*) Details of items of exceptional and extraordinary nature;

(*m*) Prior period items;

(*ii*) (*a*) In the case of manufacturing companies,—

(1) Raw materials under broad heads.

(2) goods purchased under broad heads.

(*b*) In the case of trading companies, purchases in respect of goods traded in by the company under broad heads.

(*c*) In the case of companies rendering or supplying services, gross income derived from services rendered or supplied under broad heads.

(*d*) In the case of a company, which falls under more than one of the categories mentioned in (*a*), (*b*) and (*c*) above, it shall be sufficient compliance with the requirements herein if purchases, sales and consumption of raw material and the gross income from services rendered is shown under broad heads.

(*e*) In the case of other companies, gross income derived under broad heads.

(*iii*) In the case of all concerns having works in progress, works-in-progress under broad heads.

(*iv*) (*a*) The aggregate, if material, of any amounts set aside or proposed to be set aside, to reserve, but not including provisions made to meet any specific liability, contingency or commitment known to exist at the date as to which the balance sheet is made up.

(*b*) The aggregate, if material, of any amounts withdrawn from such reserves.

(*v*) (*a*) The aggregate, if material, of the amounts set aside to provisions made for meeting specific liabilities, contingencies or commitments.

(*b*) The aggregate, if material, of the amounts withdrawn from such provisions, as no longer required.

(*vi*) Expenditure incurred on each of the following items, separately for each item:—

(*a*) Consumption of stores and spare parts;

(*b*) Power and fuel;

(*c*) Rent;

(*d*) Repairs to buildings;

(*e*) Repairs to machinery;

(*f*) Insurance;

(*g*) Rates and taxes, excluding, taxes on income;

(*h*) Miscellaneous expenses,

(*vii*) (*a*) Dividends from subsidiary companies.

(*b*) Provisions for losses of subsidiary companies.

(*viii*) The profit and loss account shall also contain by way of a note the following information, namely:—

(*a*) Value of imports calculated on C.I.F basis by the company during the financial year in respect of—

I. Raw materials;

II. Components and spare parts;

III. Capital goods;

(*b*) Expenditure in foreign currency during the financial year on account of royalty, know-how, professional and consultation fees, interest, and other matters;

(*c*) Total value if all imported raw materials, spare parts and components consumed during the financial year and the total value of all indigenous raw materials, spare parts and components similarly consumed and the percentage of each to the total consumption;

(*d*) The amount remitted during the year in foreign currencies on account of dividends with a specific mention of the total number of non-resident shareholders, the total number of shares held by them on which the dividends were due and the year to which the dividends related;

(*e*) Earnings in foreign exchange classified under the following heads, namely:—

I. Export of goods calculated on F.O.B. basis;

II. Royalty, know-how, professional and consultation fees;

III. Interest and dividend;

IV. Other income, indicating the nature thereof.

Note:— Broad heads shall be decided taking into account the concept of materiality and presentation of true and fair view of financial statements.

GENERAL INSTRUCTIONS FOR THE PREPARATION OF CONSOLIDATED FINANCIAL STATEMENTS

1. Where a company is required to prepare Consolidated Financial Statements, *i.e.*, consolidated balance sheet and consolidated statement of profit and loss, the company shall *mutatis mutandis* follow the requirements of this Schedule as applicable to a company in the preparation of balance sheet and statement of profit and loss. In addition, the consolidated financial statements shall disclose the information as per the requirements specified in the applicable Accounting Standards including the following:

(*i*) Profit or loss attributable to "minority interest" and to owners of the parent in the statement of profit and loss shall be presented as allocation for the period.

(*ii*) "Minority interests" in the balance sheet within equity shall be presented separately from the equity of the owners of the parent.

2. In Consolidated Financial Statements, the following shall be disclosed by way of additional information:

Name of the entity in the	Net Assets, *i.e.*, total assets minus total liabilities		Share in profit or loss	
	As % of consolidated net assets	Amount	As % of consolidated profit or loss	Amount
1	2	3	4	5
Parent				
Subsidiaries				
Indian				
1.				
2.				
3.				
.				
.				
Foreign				
1.				
2.				

1	2	3	4	5
3.				
.				
.				
Minority Interest in all subsidiaries				
Associates (Investment as per the equity method)				
Indian				
1.				
2.				
3.				
.				
.				
Foreign				
1.				
2.				
3.				
.				
.				
Joint Ventures (as per proportionate consolidation/ investment as per the equity method)				
Indian	_____		_____	
1.				
2.				
3.				
.				
.				
Foreign				
1.				
2.				
3.				
.				
.				
Total				

3. All subsidiaries, associates and joint ventures (whether Indian or foreign) will be covered under consolidated financial statements.

4. An entity shall disclose the list of subsidiaries or associates or joint ventures which have not been consolidated in the consolidated financial statements along with the reasons of not consolidating.